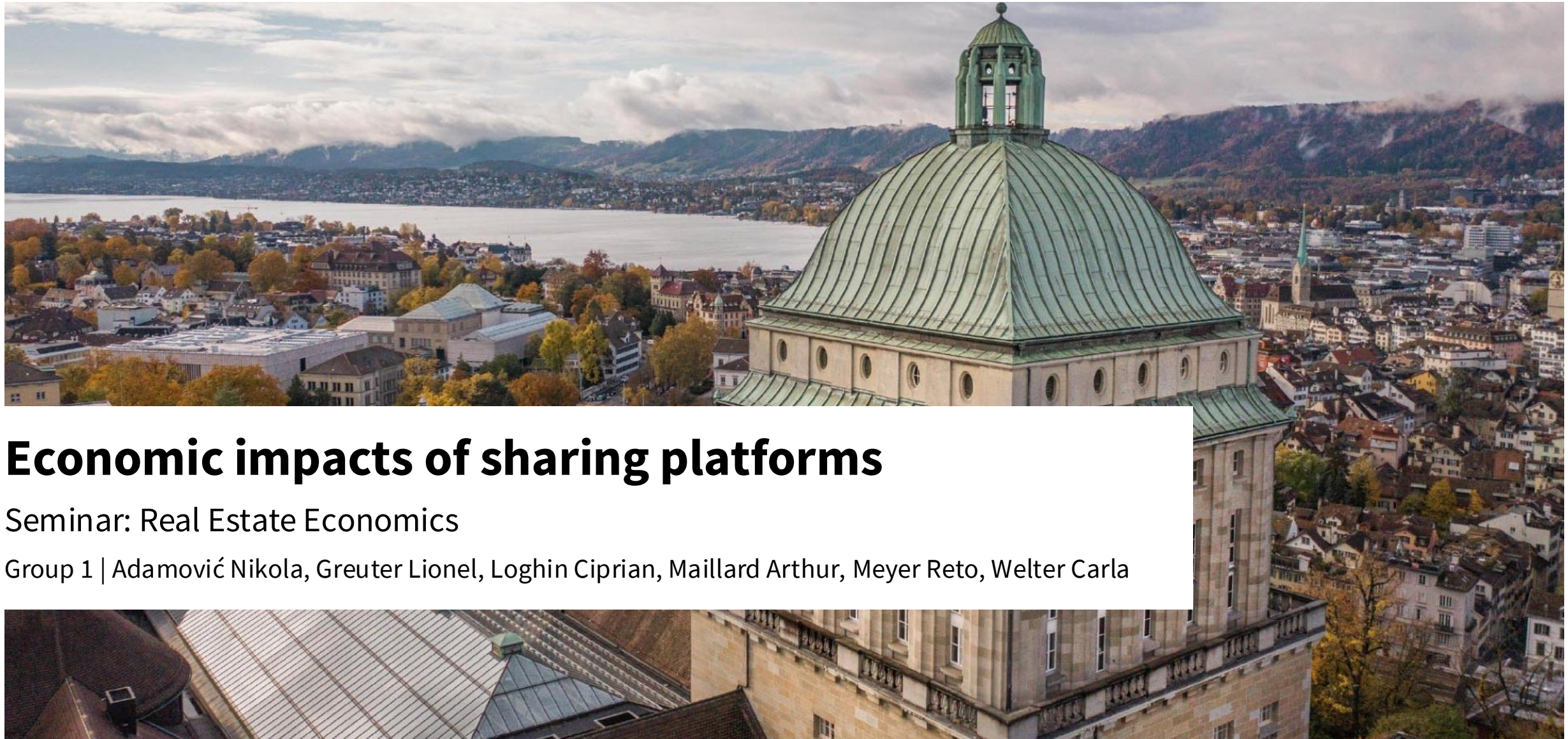




Economic impacts of sharing platforms

Seminar: Real Estate Economics

Group 1 | Adamović Nikola, Greuter Lionel, Loghin Ciprian, Maillard Arthur, Meyer Reto, Welter Carla

Agenda

1 The Economic Impact Overview

How short-term rentals change accommodation supply, competition and the use of housing

2 Impact on Rents and Prices

Evidence across US, European and Italian markets, and the mechanism behind the effects

3 Policy Implementation

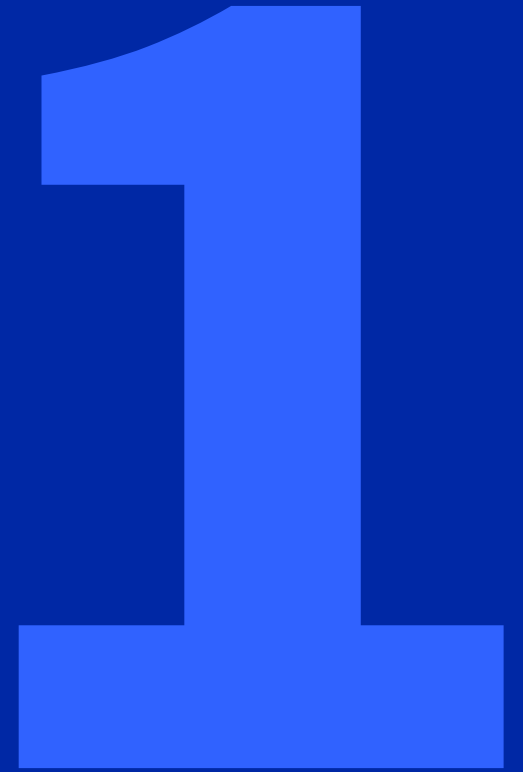
From unrestricted expansion to bans, caps and registration, and how to choose

4 Case Study: Zurich City

Local market conditions and our regulatory recommendation

5 Discussion

The Economic Impact Overview



Short Term Rental (STR) expands accommodation Supply and Competition

Airbnb changes how accommodation demand is distributed across the market.

Peak-demand capacity

Peer accommodation can expand when hotels face capacity constraints, helping absorb demand during events and periods of high occupancy.

[Farronato & Fradkin, 2022]

Hotel substitution

Nearly two-thirds of Airbnb users in the Guttentag & Smith study reported using Airbnb as a hotel substitute.

[Guttentag & Smith, 2017]

Hotel revenue effect

In the Texas evidence, Airbnb penetration is associated with approximately 8–10% lower hotel revenue. The strongest effects are found among lower-priced and non-business hotels, which compete more directly with Airbnb.

[Zervas, Proserpio & Byers, 2017]



STR and the Housing Market

The accommodation-market gains can have consequences for the allocation of residential property.

Supplemental household income

Hosts can use Airbnb to generate additional income from spare rooms or homes that are temporarily unused.

[Gurran & Phibbs, 2017]

No automatic increase in housing stock

Moving an existing dwelling into STR does not create a new dwelling for the city.

[Barron, Kung & Proserpio, 2020/2021]

Distributional effect

Higher property values can benefit existing owners while making access to housing more difficult for renters and prospective buyers.

[García-López et al., 2020]



Not all Airbnb Activity is economically Equivalent

The economic consequences become stronger when Airbnb moves from occasional sharing toward commercial operation.

Different uses of the same platform

The same Airbnb market can include a spare room rented occasionally and a property operated continuously as tourist accommodation.

[Gurran & Phibbs, 2017; House of Commons Library, 2024]

Commercialization

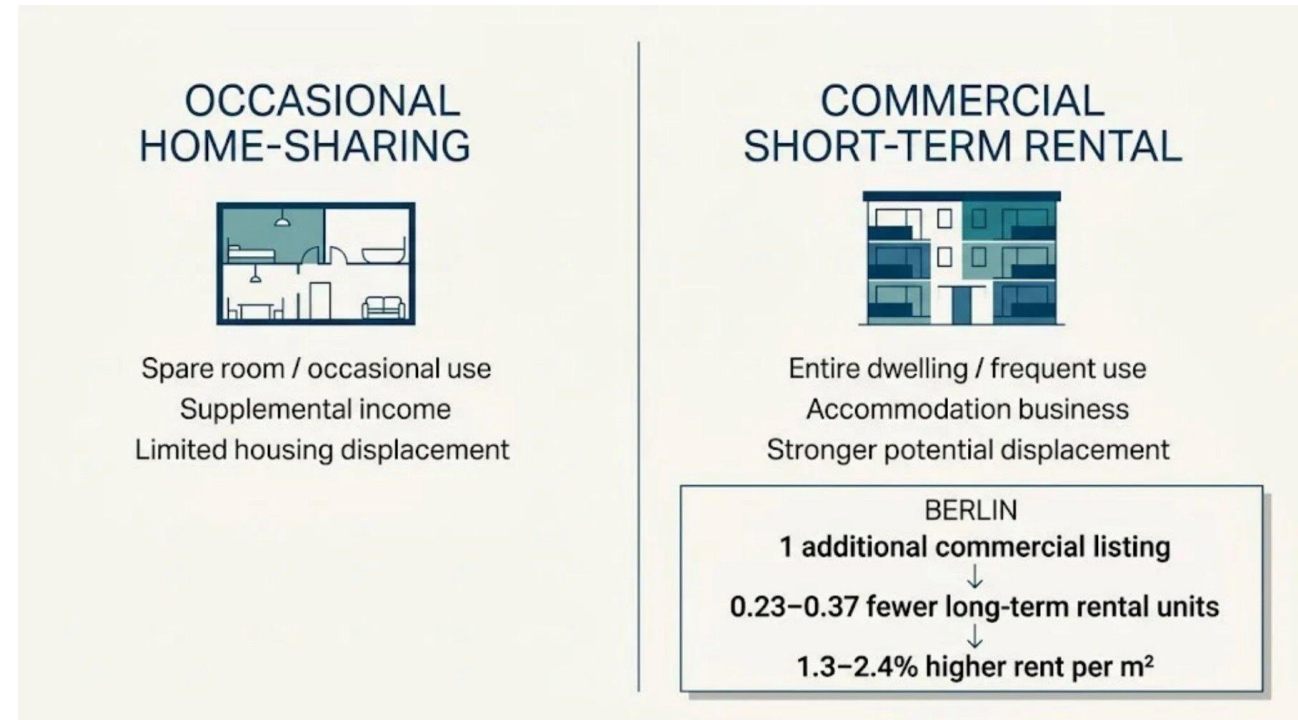
Multi-property and frequently rented listings make short-term rental increasingly similar to a conventional accommodation business.

[Wachsmuth & Weisler, 2018; House of Commons Library, 2024]

Stronger housing displacement

The Berlin evidence suggests that commercial listings have a measurable displacement effect on the long-term rental market.

[Duso et al., 2024]



Economic Gains and Costs are distributed unevenly



Potential Gains

Consumers: Welfare gains from greater accommodation availability and variety, particularly where traditional capacity is constrained.

[Guttentag & Smith, 2017]

Hosts / property owners: Additional rental income and the possibility of higher returns from residential property.

[Farronato & Fradkin, 2022]

Tourism & local businesses: Additional visitors can generate spending in restaurants, retail, entertainment and other tourism-related activities.

[Gurran & Phibbs, 2017; Fang, Ye & Law, 2016]



Potential Costs

Hotels: Reduced demand and revenue, particularly among lower-priced and non-business hotels.

[Zervas, Proserpio & Byers, 2017]

Long-term renters / prospective buyers: Higher rents and house prices can reduce housing affordability.

[Koster et al., 2021; García-López et al., 2020]

Residents in highly affected neighbourhoods: Tourist concentration can create localized housing and neighbourhood pressures.

[Gurran & Phibbs, 2017; Wachsmuth & Weisler, 2018]

Employment: Airbnb can generate tourism-related employment, but some activity may also shift away from traditional accommodation providers.

[Fang, Ye & Law, 2016; Zervas, Proserpio & Byers, 2017]

The overall Economic Picture

The impact of STR cannot be understood through the accommodation market alone.

Efficiency gains

Consumers can benefit from additional variety, flexible capacity and stronger competition.

[Farronato & Fradkin, 2022; Zervas, Proserpio & Byers, 2017]

Resource reallocation

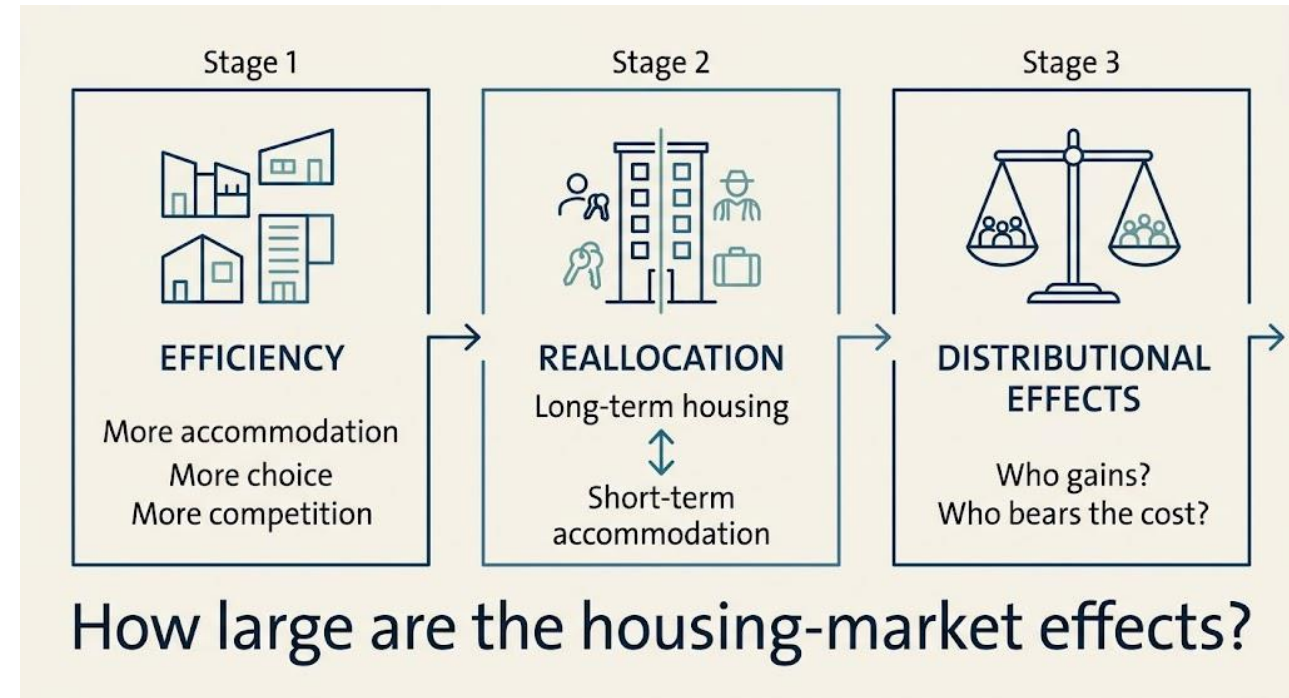
Residential property can move between long-term housing and short-term tourist accommodation.

[Barron, Kung & Proserpio, 2020/2021; Duso et al., 2024]

Different market outcomes

The same platform can simultaneously affect hotel revenues, tourism activity, rents, house prices and housing availability.

[Farronato & Fradkin, 2022; Barron, Kung & Proserpio, 2020/21]



Impact on Rents & Prices



Rent & Price Effects: The Pattern Repeats Across Very Different Markets

United States (National)

+0.018% rent

+0.026% price

per 1% more Airbnb listings — ~1/5
of annual rent growth

Barron, Kung & Proserpio, 2020

Boston, USA

+3.1% rent

−5.9% LTR listings

in the most Airbnb-dense census
tracts (vs. citywide +0.4%)

Horn & Merante, 2017

Lisbon, Portugal

2,000 → 15,700

Airbnb listings, 2014–18

76% entire homes — buy-to-let
capital displacing residents

Cocola-Gant & Gago, 2019

France (Countrywide)

+11% price

up to +18.3% rural

per 1% rise in STR density —
amplified by a rigid housing supply

Allam, Breuille & Gallo, 2025

Barcelona

STR €71/day

LRT €11/day

Airbnb host could match a full month
of long-term rental income in just 10
days of occupancy

*Garcia-Lopez, Jofre-Monseny, Martinz-Mazza, Segu,
2020*

Mechanism: From Airbnb conversion to housing-market effects

1

Long-term rental unit

A property is available to local tenants at a monthly rent.

2

Converted to AirBnB

Owners switch to STR because nightly rates > monthly rent.

3

LTR supply shrinks

Fewer properties remain available to local tenants.

Two market effects

RENTS

Fewer LTRs → displaced tenants → rental demand ↑ → rents ↑

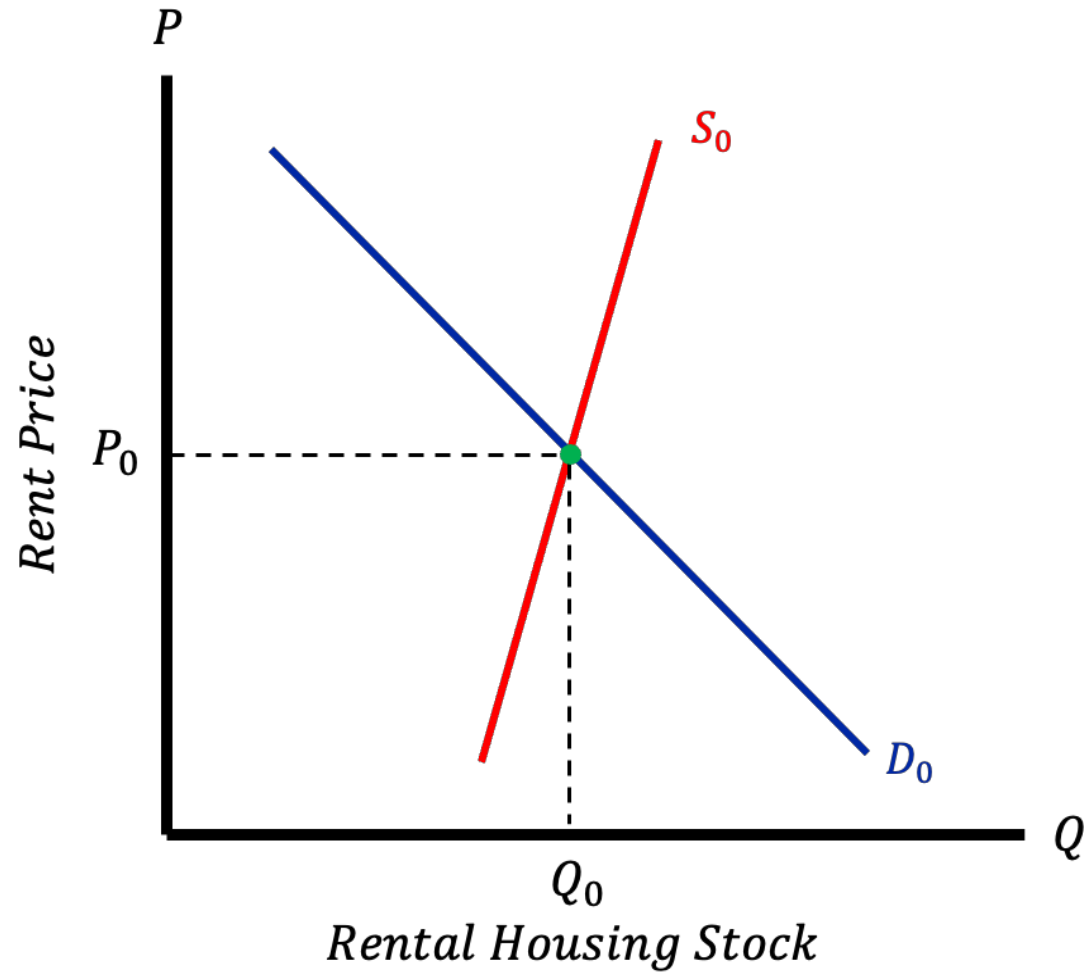
Housing supply is highly inelastic in short run. Airbnb doesn't create units, it induces landlords to switch existing units from the long-term to the short-term market, which is more profitable. This is a negative supply shock to the rental market.

PRICES

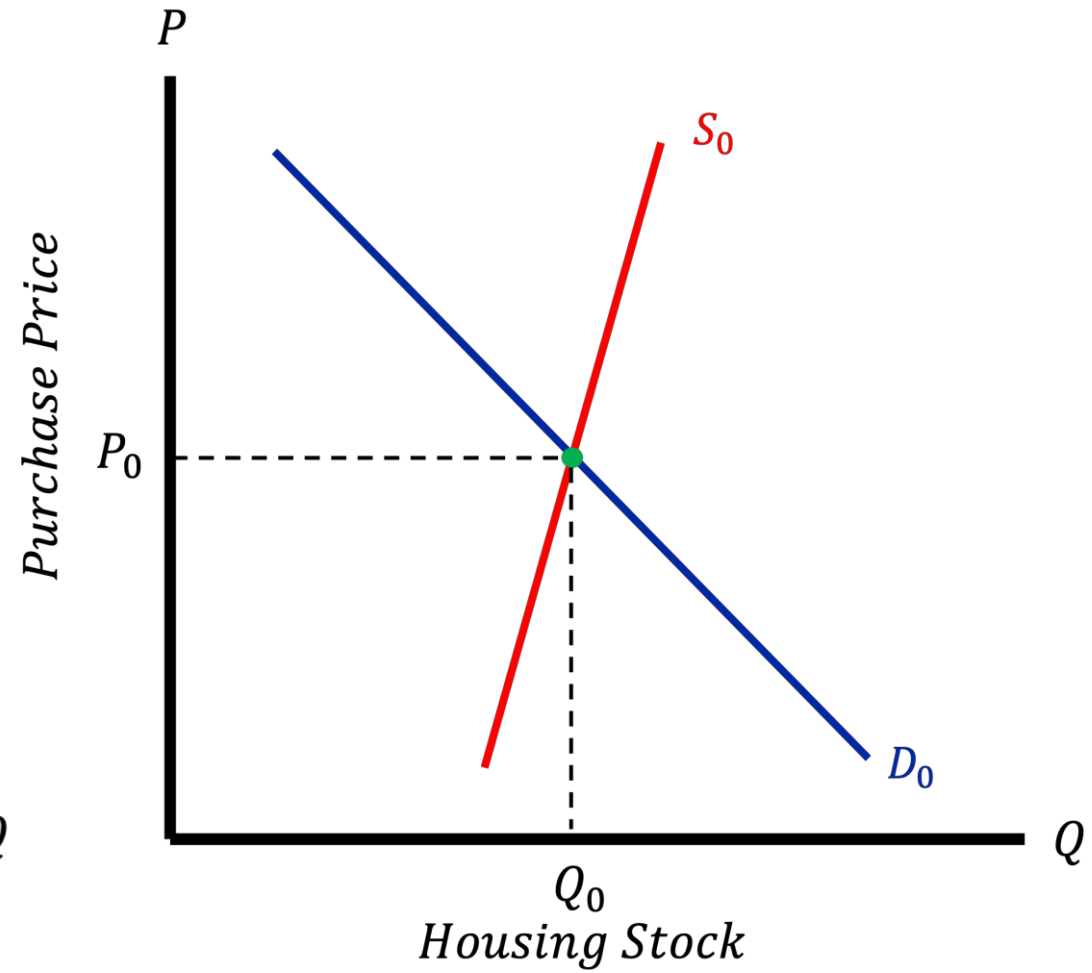
Higher revenue with STR ↑ → demand on houses ↑ → house price ↑

Home-sharing lets owners monetize spare rooms. That extra earning potential ("**asset option value**") capitalizes directly into the property's sale price (higher price-to-rent ratio).

Rental Housing Supply Shock

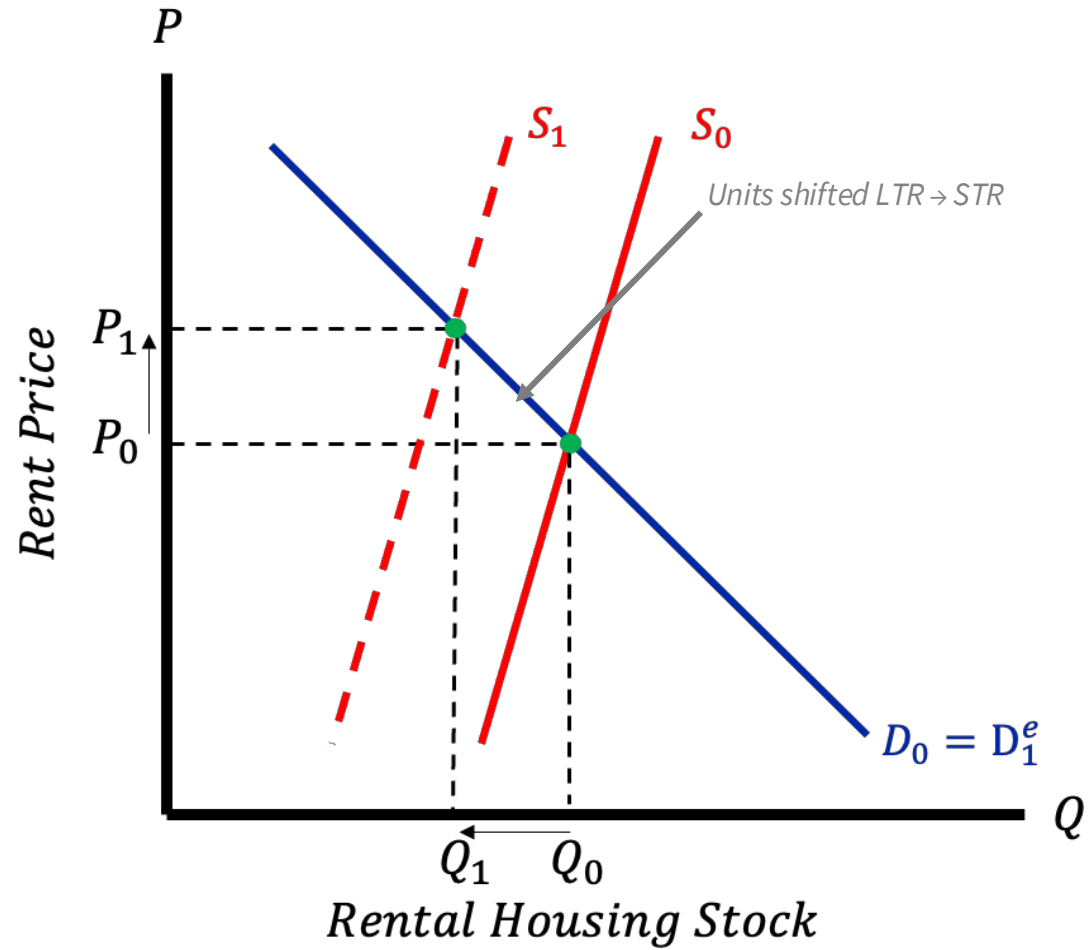


Housing Purchase Demand Shock

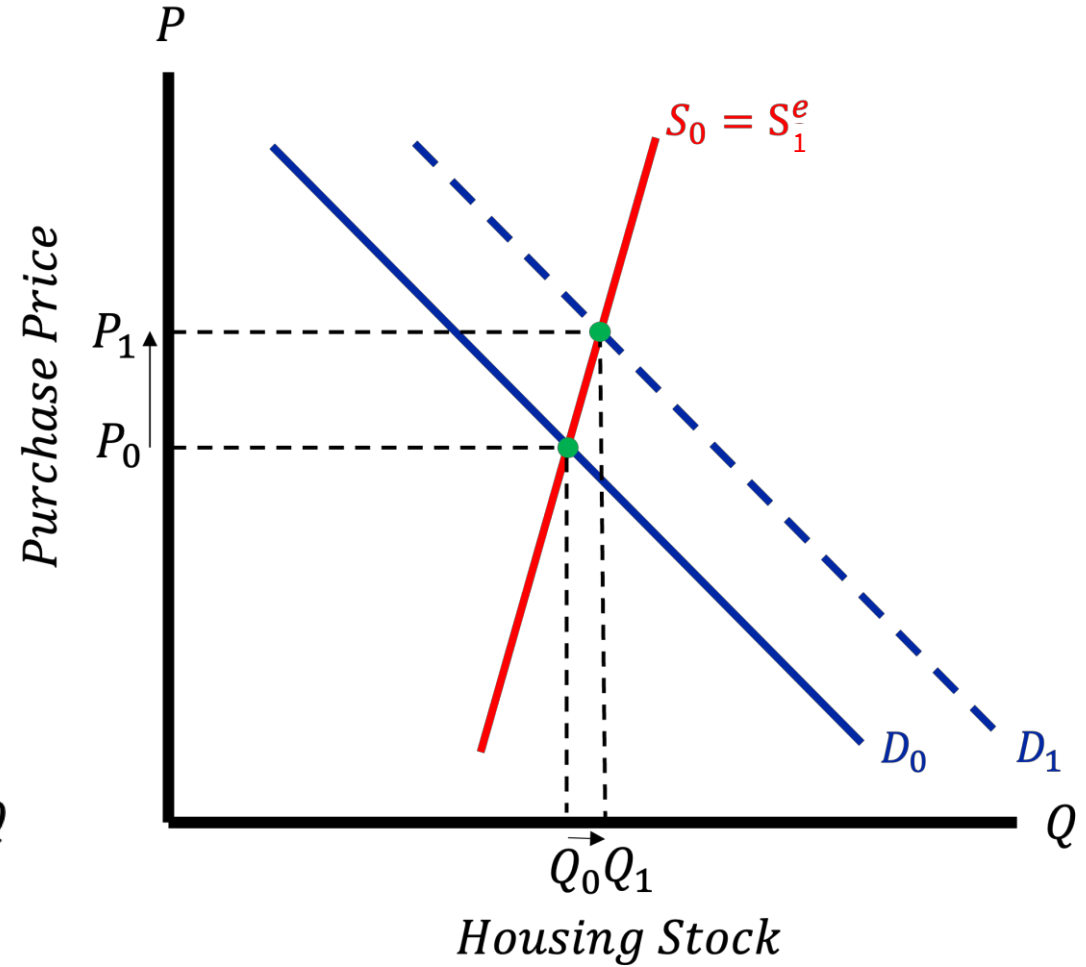


Allam, Breuillé & Le Gallo(2026); Duncan & Ross (2026); Barron, Kung & Proserpio (2021), own graphic

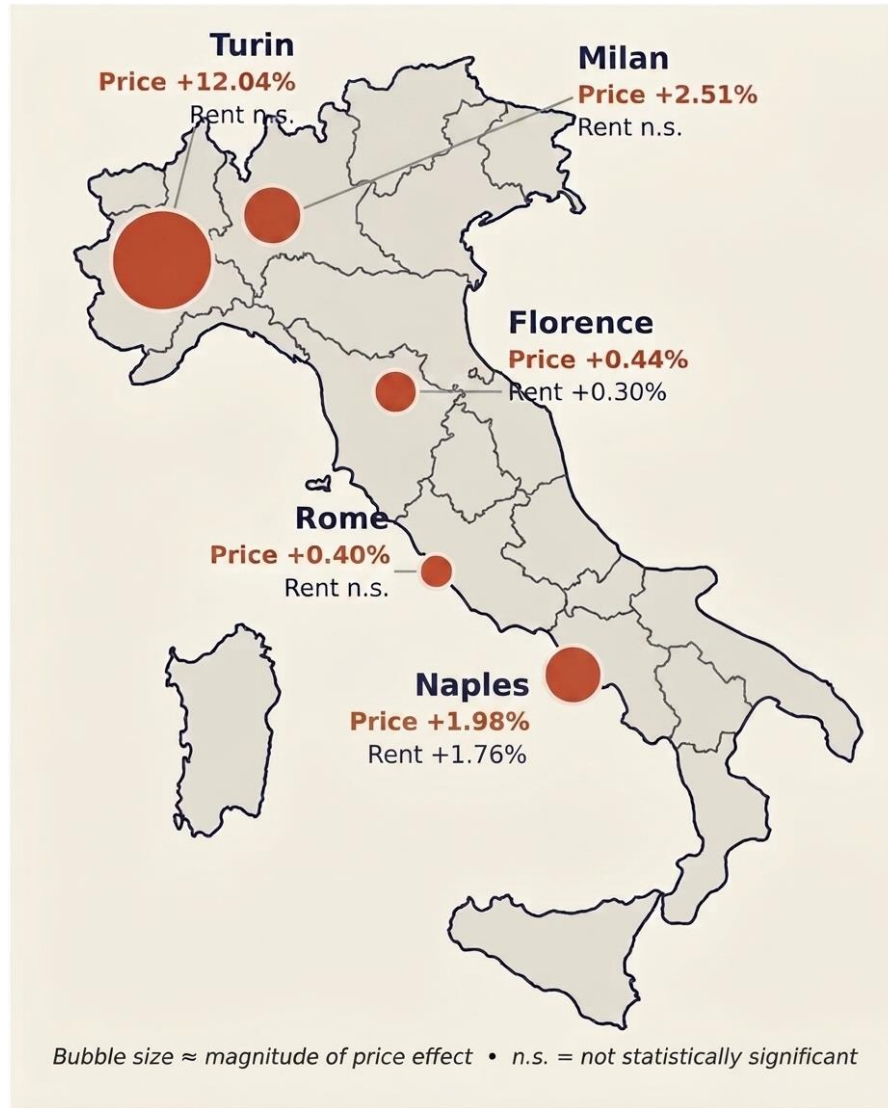
Rental Housing Supply Shock



Housing Purchase Demand Shock



Appendix: Italy: The Same Platform, Two Opposite Spatial Outcomes



DIVERGENCE — Milan & Rome

High baseline center–periphery inequality. Tourism and capital concentrate in the core, pushing prices up there — while negative spillovers depress suburban housing values (Milan -11.35% , Rome -5.02%).

CONVERGENCE — Florence

Strict historic-preservation rules cap center development. Suburbs are easily accessible (spills over) $\rightarrow$ suburban prices grow faster ($+4.21\%$) than the center ($+0.47\%$), converging over time.

*Naples (+1.98% center, no suburban effect), Turin (+12.04% center, from a very low Airbnb base)
The outcome depends entirely on each city's initial spatial structure*

Appendix: Other Market Outcomes: Spillover Effect



Negative Spillovers

Property value depreciation in suburbs

Center-heavy Airbnb density can depress suburban house prices (Milan -11.35%, Rome -5.02%) — disproportionately eroding home equity for owner-occupier families.

The Relocation Spillover

Low- and middle-income residents are priced out of tourist cores. Their move to the suburbs pushes up rents even in areas with no tourist appeal at all.

Hotel Cannibalization

Airbnb's highly elastic supply expands fast during demand peaks (conventions, festivals), capping how much hotels can raise room rates — e.g., 32% of Barcelona's hotel-bed capacity.



Positive Spillovers

Tourism Spending

Airbnb draws visitors out of hotel districts and into residential neighborhoods, boosting local employment and consumer spending there.

Capital Investment

Owners and professional investors renovate and modernize historic residential units to make them attractive to paying guests.

Additional Income

Casual "gig" hosts can monetize spare rooms or empty apartments during holidays — helping offset their own rising housing costs.

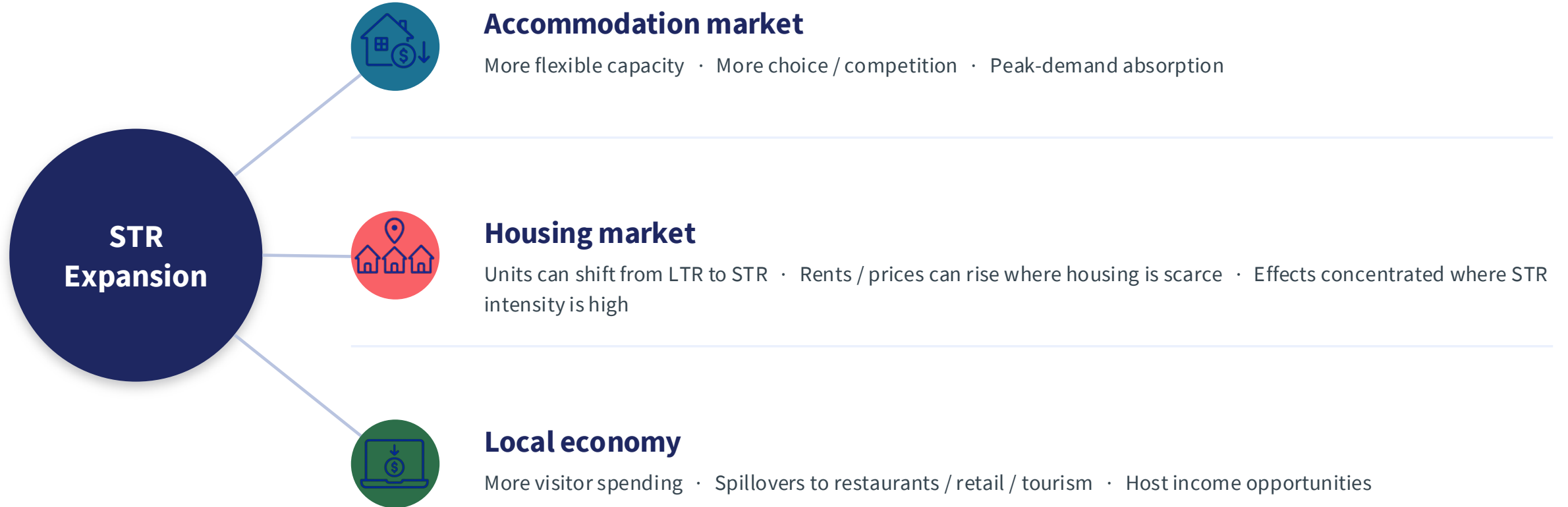
Congiu, Pino & Rondi (2024); Barron, Kung & Proserpio (2021); Garcia-López et al. (2020); Duncan & Ross (2026)

Policy Implementation



Benchmark: What Happens When STRs Expand?

Unrestricted expansion touches three connected markets



Unrestricted STR expansion creates economic value, but also shifts scarce resources toward tourist use.

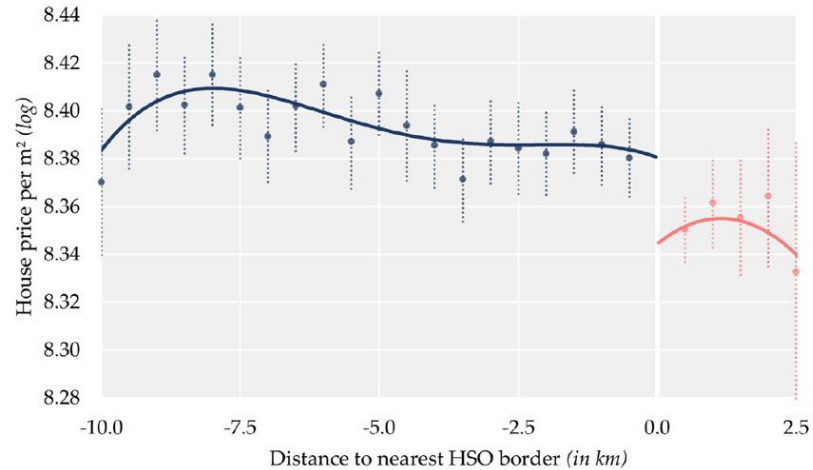
Sources: Farronato & Fradkin (2022); Barron et al. (2021); Basuroy et al. (2022); García-López et al. (2020)

Opposite Extreme: What Happens Under Strong Restrictions?

Near-total bans and partial geographic bans

Los Angeles

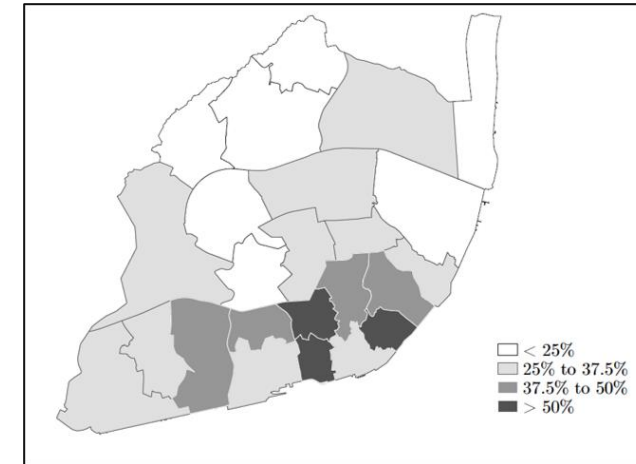
Near-ban policy — Koster et al. (2021)



House price development around HSO borders

Lisbon

Geographic partial ban — Gonçalves et al. (2022)



House price increases, Lisbon 2016–2018

Policy: Severe HSOs in 18 of 88 cities

−2%

Rents

−2%

House prices

−50%

Listings

Related local-economy evidence: LA HSOs reduced Airbnb reviews by **7.2%** and Yelp restaurant reviews by **4.4%**.

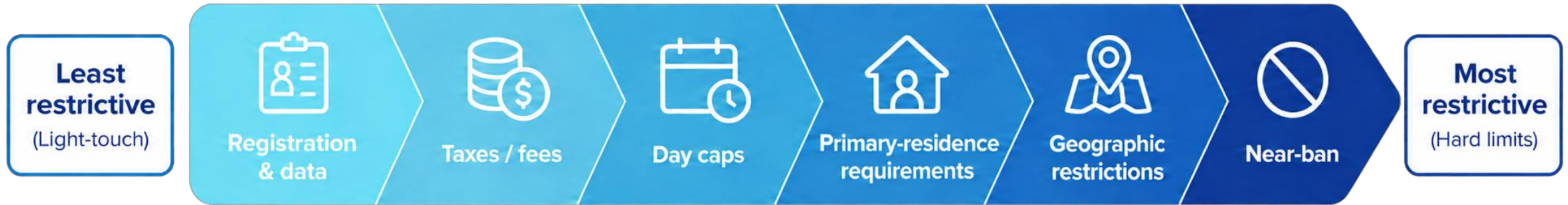
Policy: No new STR licences in selected high-STR areas

−8%

Property prices
(−20% for two-bedroom units)

- **No displacement to neighboring areas**
- **No immediate decline in Airbnb listings or prices**

Between Encouragement and Prohibition: The Policymaker's Toolbox



San Francisco

Registration + platform enforcement

Hosts had to register with the city and display a registration number; Airbnb removed unregistered listings.

KEY FINDINGS

- Airbnb activity fell **~20–30%**
- Commercial listings hit disproportionately: booked nights **–58%** vs. **–31%** for lower-capacity listings
- Booking prices **+3.3%**

Bibler et al. (2025)

Germany

Day caps on entire-home rentals

Annual caps on entire-home STRs:
90 days in Berlin; 56 days in Hamburg and Munich.

KEY FINDINGS

- STR activity fell **substantially** — even among hosts below the cap
- More than **1/3** of targeted hosts remained non-compliant
- Few properties returned to the LTR market; no significant decline in LTR rents

Gauß et al. (2024)

Which Intervention Is Actually Optimal?

A three-step framework for evaluating STR regulation

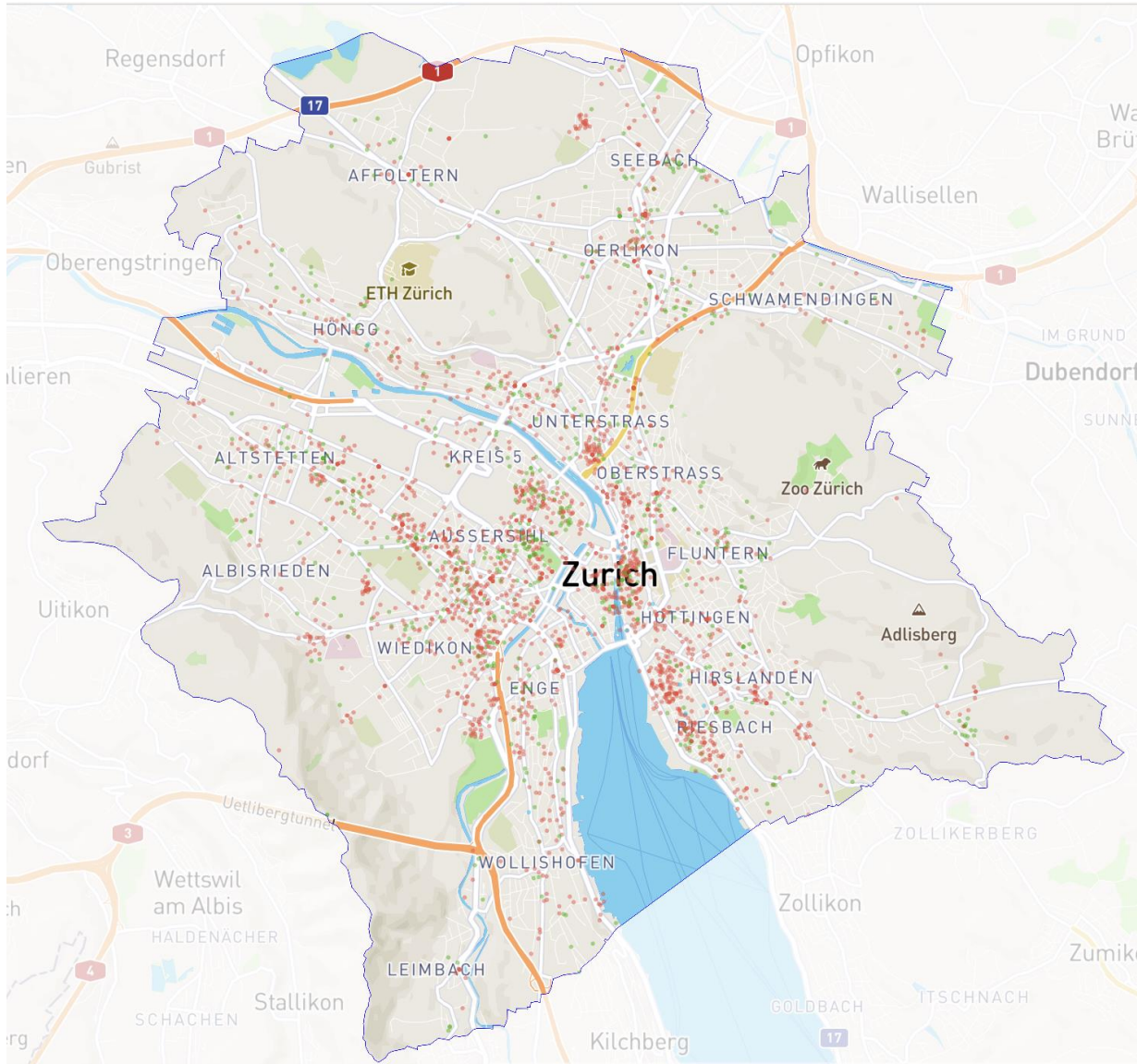


Match the instrument to the distortion and its stringency to local conditions.

Case Study : Zurich City



Housing stock vs. Airbnb listings in Zurich City

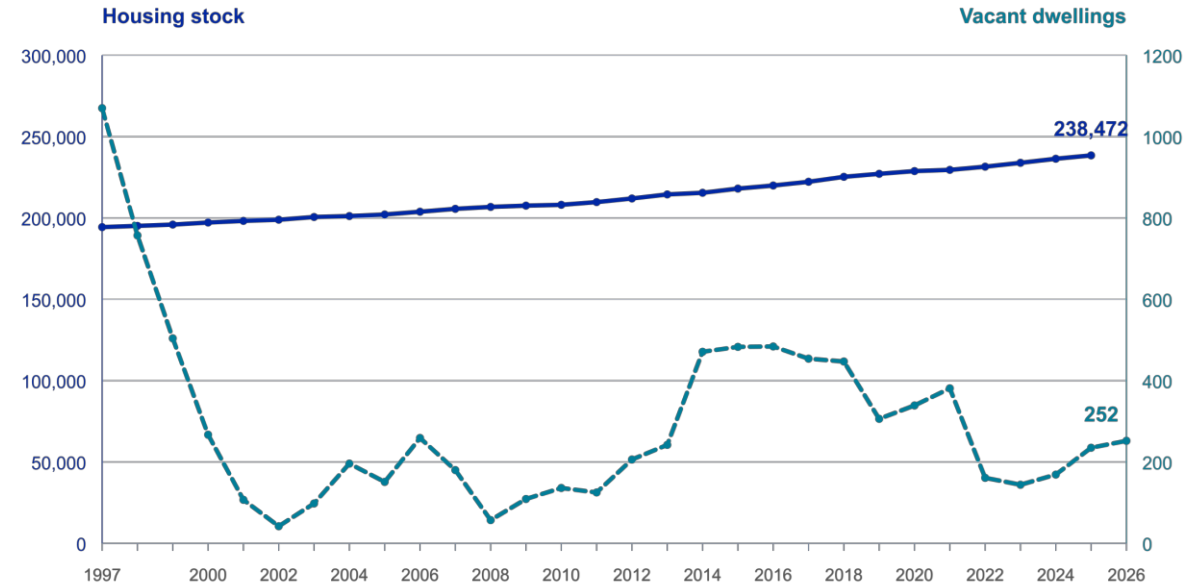


Housing Stock and Vacant Dwellings in the City of Zurich

1997–2026 · Number of dwellings

— Total housing stock · left axis

- - Vacant dwellings · right axis



Airbnb figures in Zurich City

- 2'948 listings as of 30 June 2026
- Ratio of Airbnb apartments: $2'948 / 238'355 = 1.24\%$

Sources: Inside Airbnb (2026); Stadt Zürich (2026a, 2026b).

Zurich City market situation

Vacancy rate	Housing demand	Housing supply
Extremely tight	Very high	Constrained / relatively inelastic
Land availability	Affordability	Housing policy
Very limited; growth mainly through densification	Major political and social concern	Municipal/non- profit housing and increasing regulation

Source: Stadt Zürich (2026a, 2026c, 2026d, 2026e, 2026f, 2026g)

Our recommendations for Zurich City

	Zurich housing-market vulnerability	Airbnb mechanism	Policy recommendation
1	Extremely low vacancy & inelastic supply	LTR → STR conversion further reduces permanent housing supply	Primary-residence requirement + day cap
2	High rents & affordability pressure	Reduced LTR supply can increase rents and prices	STR tax / progressive fee, especially for commercial hosts
3	Strong spatial pressure in central areas	Airbnb clusters in already highly demanded neighbourhoods	Geographic/density restrictions + mandatory registration & data sharing

Sources: Franco & Santos (2021); Li et al. (2022); Todd et al. (2022); Kim & Yeon (2025).

Discussion



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